VERAX VENTURE STUDIO · OPEN METHODOLOGY · V1.2

The Value Realisation Office

Governing whether a programme was worth delivering — not merely whether it was delivered.

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Basis	Twenty-three years of delivery in government and large-scale technology transformation

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On the name

STATED PLAINLY

The term "Value Realisation Office" is not claimed as original to this author. It is in active use across the consulting industry, and several firms publish their own treatments of it. No source establishes who used it first, and this paper makes no priority claim.

What is specific to this document is the **construct**: three operating modes running on three cadences to three audiences, a Continual Value Model chassis of seven elements, three workstreams that never close, and the insistence that the PMO sits *alongside* the VRO rather than inside it. Those are the parts worth arguing about, and the parts this paper defends.

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Provenance and supersedence

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Contents

1 The gap nobody owns

A large programme is one of the most heavily governed things an organisation does. It is also, routinely, one of the least examined.

> A PROGRAMME, PART ONE
>
> A steering committee meets to close a two-year estate modernisation. The programme director presents: delivered three weeks inside the window, one and a half per cent under budget, every milestone gated and signed. There is genuine applause, and it is deserved.
>
> Someone from finance asks what it returned.
>
> The room is not hostile. Several people offer partial answers — an energy figure from a pilot, a satisfaction score from a survey run eighteen months earlier, an anecdote about a helpdesk. None of it reconciles to the business case, because nobody has opened the business case since it was approved.
>
> **The programme was a success. Whether it was worth doing remains, formally, unknown.**

The governance that exists is delivery governance. A programme management office tracks scope, schedule, cost, risk and dependency, and does so with real precision. It will tell you that go-live is eleven weeks away and the forecast is four per cent over budget, and it will be right.

What it does not track is whether the case for doing any of it still holds.

The benefits case is written once, to release funding. From that moment the organisation measures delivery against a plan, and stops measuring the plan against reality.

The Phase-2 gap

Phase two is not funded, because when the committee asks what phase one delivered, the honest answer is that nobody measured. The programme was governed to completion by people whose remit ended at completion.

The organisations most exposed to this are not the careless ones. They are the disciplined ones — the ones with mature delivery governance, which is precisely what allows a programme to arrive intact and unexamined.

> A programme office asks whether we are on schedule. Almost nobody asks whether we are still right.

Three questions with no permanent owner

01

Is the case still true?

Conditions move. The business case does not. Nobody is tasked with reopening it.

02

Is it being used?

Adoption and service quality after go-live belong to no one in particular.

03

What should we stop?

Retirement is nobody's job, so nothing is ever retired and the estate only grows.

Those three questions are what the Value Realisation Office exists to own. Not as a project with an end date, but as a permanent function — because the questions are permanent.

2 VRO and PMO are different instruments

The most common failure in adopting this is to merge the two. A PMO with a value dashboard bolted to it is still a PMO.

Dimension	PMO	VRO
Governs	Delivery — timeline, milestone, budget	Value — outcome, return, evolution
Horizon	The project. It has an end date	Permanent. It never closes
Success	On time, on budget, on scope	Return realised, services adopted, satisfaction improved
Cadence	Weekly status, milestone gates	Daily, weekly, monthly and quarterly — three modes
Staffed by	Project managers	Cross-functional: operations, strategy, technology, finance
Failure mode	The project closes and the learning is lost	The VRO *is* the learning-retention mechanism
Reports to	Programme sponsor	Chief executive or board

THE STRUCTURAL RULE

The PMO does not report into the VRO, and the VRO does not report into the PMO. **They sit alongside one another and are permitted to disagree in public** — one reporting a programme green on delivery while the other reports the value case has drifted.

That tension is the mechanism, not a defect in it. Collapse the two into a single function and the delivery view will win every time, because delivery data is timely, precise and comfortable, and value data is none of those things.

When not to use this

Still in discovery

Nothing exists yet to govern. Finish the assessment first.

They want a PMO

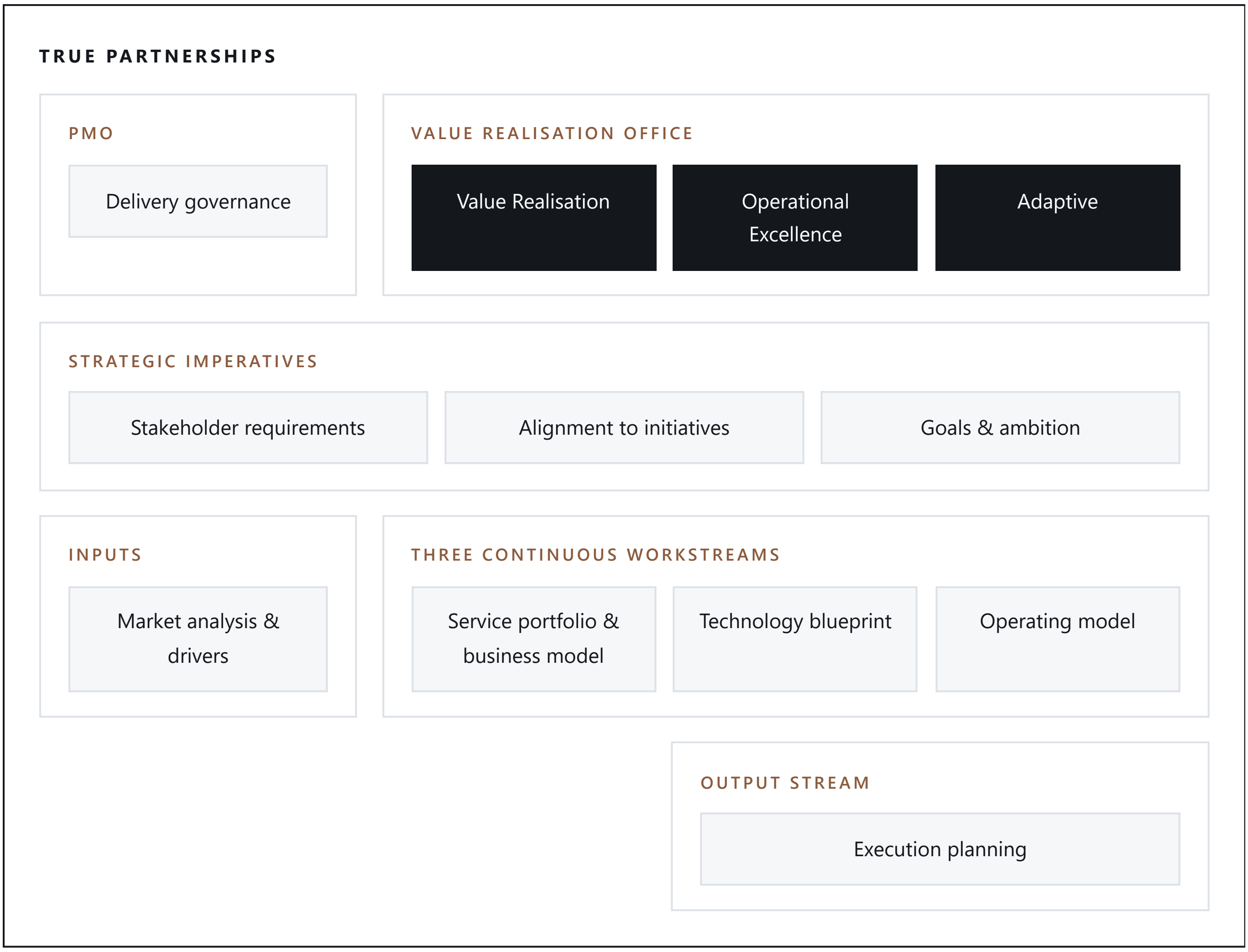
If the need is project management, give them project management.

One deliverable

A single artefact with no continuing life needs no permanent governance.

3 The Continual Value Model

The chassis. Everything in this paper hangs on it, and its defining property is that nothing in it terminates.



Read it from the outside in. **True Partnerships** is the wrapper — the commercial and relational basis on which any of this is possible. Inside it sit the **VRO** and the **PMO**, adjacent and independent.

Beneath them, **Strategic Imperatives** act as the standing north star, refreshed on a slow cadence. **Market Analysis and Drivers** feed in from outside. The three **continuous workstreams** hold the substance of what is being governed. **Execution Planning** is the output stream.

> The VRO is not a project. It is the permanent operating system for a transformation. Projects end; the VRO keeps extracting value.

4 The seven elements

ELEMENT 1

True Partnerships

The outer wrapper. Governance of this kind cannot be bought as a deliverable; it requires a relationship with continuing obligations on both sides.

ELEMENT 2

Value Realisation Office

The body itself, running three operating modes on three cadences.

See section 5

ELEMENT 3

PMO

Adjacent, not subordinate. Retains delivery governance in full and reports to the programme sponsor.

ELEMENT 4

Strategic Imperatives

The standing north star. Stakeholder requirements and alignment quarterly; goals and ambition annually.

ELEMENT 5

Market Analysis & Drivers

Four input feeds keeping the VRO connected to conditions outside the programme.

ELEMENT 6

Three Continuous Workstreams

Service portfolio and business model, technology blueprint, operating model.

See section 6

ELEMENT 7

Execution Planning

The output stream — roadmap, risk, forecast, pilot pipeline and the model office.

See section 7

The input feeds, and their cadence

Feed	Source	Cadence
Market & technology trends	Analysts, vendor roadmaps, peer benchmarks	Continuous
Best practice & benchmarks	Sister assets, comparable estates, standards bodies	Quarterly
Customer analysis	Occupant surveys, sentiment data, net promoter score	Continuous
Policies & regulations	Legal and compliance, government rules, regulatory change	Continuous

The feeds matter because without them the Adaptive mode has nothing to work with. A VRO with no external input degrades into an internal reporting function inside a year.

5 Three operating modes

One body, three distinct jobs, on three cadences, to three audiences. Attempting all three in a single monthly meeting is the second most common failure.

MODE 01

Value Realisation

Tracks return, cost savings and operational outcomes against the original business case.

Monthly · CFO, CEO, board

MODE 02

Operational Excellence

Drives day-to-day quality, service-level adherence and KPI monitoring.

Daily and weekly · Operations

MODE 03

Adaptive / Evolving

Spots new opportunity, retires obsolete services, refreshes the priority matrix.

Quarterly · CTO, strategy

A PROGRAMME, PART TWO

The same organisation stands up a value function, and puts all of it into one monthly meeting.

The first hour goes to incidents, because incidents are urgent and someone in the room owns them. The second goes to the roadmap, because the roadmap has a deadline. Return against business case is item seven, and item seven is taken as read.

Nobody decides to skip it. It simply loses, every month, to things that are louder.

A single meeting cannot hold three conversations with three different clocks. The urgent one always wins.

Why the separation is load-bearing

The three modes answer questions on incompatible timescales. Service-level adherence is a daily concern and a monthly irrelevance. Return against business case cannot be assessed weekly. Retirement decisions require distance, and cannot be taken in a room where the people present built the thing.

They also have different audiences, and audience determines what can be said. An operations review with the board present becomes a status report. A value review with the operations team present becomes a defence.

THE MODE THAT GETS DROPPED

Adaptive is the mode organisations quietly stop running. It is the only one with no immediate consumer — nobody chases a quarterly retirement review — and it is the only one that can recommend stopping something.

A VRO running two modes is a reporting function. The third is what makes it governance.

6 Three workstreams that never close

These hold the substance being governed. Each is refreshed on a cadence rather than completed.

6A

Service portfolio & business model

What each service must deliver, the ranked catalogue, how it makes or saves money, and the rolled-up return story.

Refresh: quarterly to annually

6B

Technology blueprint

A layered reference architecture with cyber-security as a cross-cutting concern owning its own column, not a row.

Refresh: per layer trigger

6C

Operating model

Capability, sourcing, partnership, governance, and the lifecycle of every service from birth to retirement.

Refresh: annually

6a · Service portfolio and business model

Component	What it is	Refresh
Business requirement	What each service must deliver	Per service change
Service catalogue	The live, ranked list	Quarterly
Commercialisation strategy	How each service makes or saves money	Annually
Go-to-market strategy	How each service reaches its users	Annually
Business case	The rolled-up return story	Quarterly

6c · Operating model

Component	What it governs
Capabilities & skill requirements	What the operations team must learn
Sourcing strategy	Make, buy or partner, per service
Partnership strategy	Who the organisation is tied to, and why
Partner selection framework	How new vendors are chosen
Partner management	How existing vendors are governed
Governance model	The VRO’s own rules of engagement

Component	What it governs
Service lifecycle management	Birth, live and retirement for every service

Service lifecycle management is the component most often absent. Without an explicit retirement path a service catalogue only grows, and a catalogue that only grows eventually consumes the operating budget that was supposed to fund the next thing.

7 Execution planning

The output stream. What the VRO actually produces, and how often.

ALWAYS ON

Innovation stimulus — the model office

A protected space for experimentation. A living lab.

MONTHLY

Implementation roadmap

Twelve-month rolling plan, re-cut every month rather than set once.

MONTHLY

Risk management plan

A live register, not an annual artefact.

QUARTERLY

Investments forecast

Three-year capital and operating forecast.

QUARTERLY

Proofs of concept

The pilot pipeline — what is arriving and, explicitly, what is being decommissioned.

!

Why decommissioning is listed

A pipeline that records only what is starting produces a portfolio nobody can afford to run.

THE MODEL OFFICE

A protected experimentation space matters because the alternative is experimenting in production, which operations teams correctly resist, or not experimenting, which is how an estate ages. Giving innovation somewhere legitimate to happen is cheaper than either.

8 Standing one up

PHASE 1

Design

Map what exists, draft the charter, define feeds and outputs.

2–3 weeks

PHASE 2

Stand-up

Assign membership, build dashboards, run each cadence once.

4–8 weeks

PHASE 3

Steady state

The cadence runs. Nothing closes.

Ongoing

Phase 1 — Design

#	Activity	Output
1	Map existing governance — establish who already does what	Governance landscape map
2	Identify which modes are already performed, usually informally	Gap assessment
3	Draft the charter: purpose, membership, cadence, decision rights	Charter
4	Map the three workstreams onto real services and systems	Workstream mapping
5	Define input feeds — what exists, what must be built	Data source register
6	Define the output stream and its consumers	Reporting framework
7	Identify the VRO's physical home	Space brief
8	Produce the setup proposal	Setup proposal

THE STEP THAT DECIDES IT

Step two. Most organisations already perform Operational Excellence informally and perform no other mode at all. **Naming what already exists converts the VRO from an imposition into a completion** — and that difference determines whether anyone turns up.

Phase 2 — Stand-up

Membership is assigned by the buyer, never by the adviser. Dashboards are built per mode. The first monthly value review, the first weekly operational review and the first quarterly adaptive review are all run inside this window — deliberately, because a cadence that has not run once will not survive contact with a busy quarter. Input feed schedules are agreed with data owners by name, and the first rolling roadmap and investment forecast are published.

9 Steady-state cadence

Cadence	What happens	Who attends
Daily	Operational stand-up: service-level adherence, incident review	Operations team
Weekly	Operational review: KPI trends, escalation, actions	Operations and facilities director
Monthly	Value realisation: return tracking, business case actuals, executive brief	Full VRO membership
Quarterly	Adaptive: priority matrix refresh, technology assessment, feed review	VRO, strategy, C-suite
Annually	Strategic imperatives refresh: goals, ambition, stakeholder requirements	Board and chief executive

> The cadence *is* the framework. An organisation that adopts the language and not the rhythm has adopted nothing.

The whole apparatus exists to force a particular question in front of a particular audience at a particular interval. Remove the interval and you remove the mechanism — a quarterly review held annually is not a slower version of the same thing, it is a different thing.

10 The Value Realisation Scorecard

The monthly artefact. Deliberately short, and deliberately uncomfortable.

Programme overview

Metric	Target	Actual	Trend	Status
Cumulative return realised	—	—	—	—
Services live	—	—	—	—
Services in pilot	—	—	—	—
Occupant satisfaction	—	—	—	—
Energy reduction	—	—	—	—

The two lists that make it work

ROUTE TO ADAPTIVE

Underperforming services

Each with a reason and a proposed action. This list feeds the quarterly retirement conversation.

ROUTE TO EXECUTION

Overperforming services

Each with a reason and a proposed expansion. Success is a signal, not just a result.

NEITHER LIST MAY BE EMPTY BY CONVENTION

A scorecard with no underperformers is not a good month. It is an unexamined one.

The scorecard closes with a one-line summary from each of the four input feeds, and a numbered list of decisions required, each with a named owner and a date. It is not a report if it ends without asking for something.

11 Where it sits among adjacent methods

The VRO is a meta-governance layer. Other methods produce the work; this one ensures the work keeps returning value.

THE WHAT

Innovation Ecosystem

Adaptive mode consumes the innovation pipeline. The model office is the living lab.

THE HOW

Smart Services

The VRO governs the scored service catalogue, architecture and operating model the advisory phases produce.

THE RUN

Operations

The VRO governs the domain scorecard and cross-agency interoperability outcomes.

The four close on each other. Innovation Ecosystem determines what should be built; Smart Services determines how; Operations runs it; and the VRO governs whether it continues to be worth running, feeding what it learns back into ideation.

None of the first three requires this one to function. But each of them, delivered without it, produces an artefact that begins degrading the day the advisers leave — which is the condition this paper was written to address.

12 Failure modes, and one test

FAILURE 01

Merging it with the PMO

Delivery data is timely and precise; value data is neither. In a single body, delivery wins every meeting.

FAILURE 02

Running two modes

Adaptive is dropped first because nobody chases it — and it is the only mode that can recommend stopping something.

FAILURE 03

Language without cadence

The interval is the mechanism. A quarterly review held annually is a different thing, not a slower one.

FAILURE 04

No external input

Without the four feeds the VRO becomes an internal reporting function within a year, reporting on itself.

A PROGRAMME, PART THREE

Two years later, a different meeting. The Adaptive review, quarterly, strategy in the room, operations deliberately not.

A service is on the table that is performing exactly to specification. Uptime is excellent. The delivery view is green and has been green for nine months. It is also, on the numbers in front of them, returning about a fifth of what its business case promised, because the working pattern it was built for changed during the build.

The recommendation is to retire it and redirect the run cost.

That recommendation is the entire product of everything in this paper. A body that cannot make it is a reporting function with a better name.

ONE QUESTION

When did someone in your organisation last formally recommend stopping a programme that was delivering to plan?

If the answer is never, there is no outcomes governance in the building. There is a programme office, and there is hope.

The question works because stopping a healthy programme is the single hardest recommendation in corporate life, and the only body structurally capable of making it is one whose remit is value rather than delivery, whose horizon does not end at go-live, and which reports somewhere other than to the programme's own sponsor.

Build that, run all three modes, hold the cadence, and the question stops being rhetorical.